

FEDERAL MARITIME COMMISSION

M/S PARSONS OVERSEAS,

Claimant,

v.

SEVEN SEAS SHIPPING USA, INC.,

Respondent.

Docket No. 1960(I)

Served: December 12, 2019

BY THE COMMISSION: Michael A. KHOURI, *Chairman*,
Rebecca F. DYE, Daniel B. MAFFEI, Louis E. SOLA, and Carl W.
BENTZEL *Commissioners*.

Order Affirming-in-Part and Vacating-in-Part Decision on Remand and Remanding for Discovery

I. INTRODUCTION

On July 9, 2018, the Small Claims Officer (SCO) found that Respondent violated 46 U.S.C. § 41102(c) when it: (a) released Claimant's cargo to an unauthorized party based on unauthorized bills of lading created by Respondent's agent; and (b) misled Claimant about the status of the cargo. Decision at 23-24 (July 9, 2018) (SCO Decision). The Commission vacated that decision and

remanded the matter to the SCO to determine whether Respondent's acts or omissions occurred on a normal, customary, and continuous basis. Order Vacating and Remanding Decision at 2 (Mar. 7, 2019) (Remand Order). On remand, the SCO found that Claimant failed to establish that Respondent's unjust and unreasonable acts or omissions met that standard and dismissed the claim. Decision on Remand at 19-20 (July 2, 2019) (SCO Remand Decision).

Although the Commission disagrees with Claimant that applying the "normal, customary, and continuous" standard amounts to impermissible retroactive rulemaking, we believe that Claimant should have an additional opportunity to discover evidence about other shipments or other shippers relevant to whether Respondent or its agents engaged in the alleged unjust and unreasonable conduct on a normal, customary, and continuous basis. Consequently, the Commission vacates the SCO Remand Decision as to the normal, customary, and continuous issue and remands so that Claimant may discover evidence relevant to that standard.

II. BACKGROUND

This is a case between an apparel manufacturer/shipper (Claimant) and an ocean transportation intermediary (Respondent). SCO Remand Decision at 2. In September 2015, Claimant entered into a contract for the sale of apparel to a New York corporation called Prolink Industries, Inc. (Prolink) for \$58,000. *Id.* Claimant cleared the goods through the Customs Authority in India, paid local port charges and, at Prolink's instruction, tendered the goods to Respondent's agent, Virat Global Logistics Pvt. Ltd. (Virat), to arrange for transportation of the cargo from India to the United States. *Id.*

On September 13, 2015, Virat issued an original bill of lading to Claimant for the shipment which identifies Claimant as the shipper/exporter, the consignee as "To Order," Ocean Force Enterprises (Ocean Force), an entity related to Prolink as the notify party, and Prolink as the second notify party. *Id.* For unknown

reasons, the agent also created two additional original bills of lading and issued them to Ocean Force. *Id.* The alternative bills of lading are identical to the originals, except that they identify Ocean Force as the shipper/exporter and Macy's.com, Inc. (Macys) as the notify party. *Id.* at 2-3.

While the goods were still in transit, Respondent received notification from Ocean Force that the goods had been sold to another company named Courage Clothing. Courage Clothing forwarded the alternate bills of lading to the Respondent. *Id.* at 3. When the cargo arrived, Respondent did not notify Claimant of the arrival. The cargo was subject to an intensive customs examination and released to Respondent on October 12, 2015. After receiving the alternative bills of lading, Respondent released the cargo, in three installments, to Courage Clothing in October 2015, February 2016 and March 2016. *Id.* This occurred without Claimant's knowledge.

In December 2015, Claimant inquired about the status of its shipment, and, despite the shipment having been cleared of customs in October, was informed by Respondent's agent that the shipment was still undergoing a customs examination. In April 2016, Claimant learned that the shipment had been released to an unauthorized party. Claimant was only able to collect \$10,000 of the \$58,200 owed for the goods at issue. *Id.*

On March 6, 2018, Claimant filed a small claims complaint with the Commission seeking a reparations award for the \$48,200 it was unable to recover from the buyer of its goods. *Id.* Claimant alleged that that Respondent, an FMC-licensed ocean transportation intermediary (OTI), created unauthorized bills of lading and released Claimant's cargo to an unauthorized party without obtaining the genuine bill of lading and misled the Claimant about the status of the shipment, all in violation of 46 U.S.C. § 41102(c). *Id.*

On July 9, 2018, the SCO issued a decision finding in favor of Claimant. The SCO found that Respondent created unauthorized

bills of lading, misled Claimant about the status of Claimant's shipment, and released Claimant's shipment without the genuine endorsed original bill of lading required by the terms of the shipment and without Claimant's authorization. SCO Decision at 22-23. The SCO found that each of these actions gave rise to a § 41102(c) violation and awarded reparations of \$48,200. *Id.* at 26. On July 10, 2018, the Commission decided to review that decision.

While this review was pending, the Commission revised its interpretation of 46 U.S.C. § 41102(c) and issued an interpretive rule reflecting that interpretation. Final Rule: Interpretation of Shipping Act of 1984 – Unjust and Unreasonable Practices; 83 Fed. Reg. 64478 (Dec. 17, 2018). The Commission clarified that the proper scope of the prohibition against unreasonable practices in the Shipping Act of 1984 requires that a regulated entity engage in a practice or regulation on a normal, customary, and continuous basis. This interpretation brought the Commission's understanding of section 41102(c) in line with earlier caselaw, which, as recently as 2001, "required that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." *Id.* at 64479.

On March 7, 2019, the Commission vacated the SCO Decision, finding that the interpretation of § 41102(c) the SCO had applied – the "old" interpretation – runs contrary to the original intent of congress, the rules on statutory construction, and Commission precedent. Remand Order at 2. Citing the interpretive rule, the Commission found that the proper interpretation of the statute requires that the acts or omissions occur on a normal, customary, and continuous basis. *Id.* The Commission remanded the proceeding to the SCO to determine whether the acts or omissions at issue satisfied the "normal, customary, and continuous" test.

Following the remand, the SCO ordered the parties to file briefs discussing the revised § 41102(c) standard and identifying relevant facts. Mar. 12, 2019 SCO Email. The SCO also gave the parties the opportunity to obtain evidence from each other. *Id.* The parties timely filed briefs but did not apply to the SCO for discovery.

On July 2, 2019, the SCO issued a Decision on Remand finding in favor of the Respondent. SCO Remand Decision at 20. The SCO found that Claimant proved four of the five elements necessary to establish a § 41102(c) violation under the revised standard set forth in the interpretive rule but did not establish that Respondent's unjust and unreasonable conduct occurred on a normal, customary, and continuous basis. *Id.* at 17-20. The SCO reasoned that while there was evidence of more than one instance of illegal conduct by Respondent, there was insufficient evidence that Respondent had a practice of creating fraudulent bills of lading, releasing shipments to unauthorized parties, or misleading shippers regarding the status of their shipments. *Id.* at 20; *see also id.* ("In other words, a 'series of such occurrences' has not been shown."). On July 31, 2019, the Commission issued notice that it would review the SCO Remand Decision.

III. DISCUSSION

A. Standard of Review

In proceedings, "[w]here exceptions are filed to, or the Commission reviews, an initial decision, the Commission, except as it may limit the issues upon notice or by rule, will have all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). Thus, when the Commission reviews a decision de novo it may enter its own findings. *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 746, 753 (FMC 2014) (citing *OC Int'l Freight, Inc.*, 33 S.R.R. 566, 570 (FMC 2014)). The Commission reviews SCO decisions in informal proceedings under the same standard. *See Houbon v. World Moving Servs.*, 31 S.R.R. 1400, 1404 (FMC 2010); *see also* 5 U.S.C.

§ 557(b).

B. Retroactivity

On remand the SCO found that Respondent was (a) an ocean transportation intermediary; (b) the acts or omissions at issue related to or were connected with receiving, handling, storing, or delivering property; (c) the acts or omissions at issue were unjust and unreasonable; and (d) the acts or omissions at issue were the proximate cause of the claimed loss. SCO Remand Decision at 18-19. These findings are supported by the evidence and we affirm the SCO Remand Decision in that respect.

The remaining question is whether the acts or omissions at issue occurred on a normal, customary, and continuous basis. In its brief on remand, Claimant argued that the Commission cannot lawfully apply the “normal, customary, and continuous” standard set forth in the Commission’s final rule in this case because the SCO issued the decision awarding Claimant reparations under the “old” § 41102(c) standard before the Commission announced its intent to revise the standard in a Notice of Proposed Rulemaking on September 7, 2018, and before the Commission adopted the revised standard in a Final Rule on December 17, 2018. Claimant Apr. 11, 2019 Br. at 8-12. According to Claimant, the agencies cannot apply rules as the one at issue here retroactively. *Id.* The SCO declined to consider Claimant’s retroactivity argument, as it was bound by Remand Order to apply the normal, customary, and continuous standard. SCO Remand Decision at 17.

Claimant is correct that, generally, an agency cannot apply rules retroactively. Absent express Congressional approval, “agencies lack the power to promulgate retroactive legislative rules.” *Health Ins. Ass’n of Am. v. Shalala*, 23 F.3d 412, 422 (D.C. Cir. 1994) (citing *Bowen v. Georgetown University Hosp.*, 488 U.S.

204 (1988)).¹ But agency interpretations announced in adjudications typically are retroactive and apply in the cases in which they are announced. *Health Ins. Ass’n*, 23 F.3d at 424 (“Even if this reading had been novel, agency interpretations announced in adjudications typically are retroactive, and, subject to some limits, permissibly so.”); *Clark-Cowlitz Joint Operating Agency v. Fed. Energy Regulatory Comm’n*, 826 F.2d 1074, 1081 (D.C. Cir. 1987) (en banc).

Here, the Commission set forth the “normal, customary, and continuous” standard in its Remand Order and in so doing cited the Commission’s interpretive rule. Remand Order at 2. Any retroactive effect of the rule was “completely subsumed in the permissible retroactivity of the agency adjudication.” *Health Ins. Ass’n*, 23 F.3d at 424; *see also id.* (“Since HCFA was already free to subject Sentara-Hampton to the standard expressed in its 1983 revisions even in the absence of their promulgation as such, the Sentara-Hampton court correctly held that the interpretive rule itself was not being given retroactive effect.”); *see also St. Luke’s Hosp. v. Sebelius*, 611 F.3d 900, 907 (D.C. Cir. 2010) (finding that in context of agency adjudication, agency could lawfully interpret a regulation notwithstanding its retroactive effect and that the retroactivity of the application of a guidance document the agency issued while the case was pending was “subsumed in the permissible retroactivity of the agency adjudication”); *Providence Health Sys. – Washington v. Thompson*, 353 F.3d 661, 667 (9th Cir. 2003) (citing *Health Ins. Ass’n*). The SCO therefore did not impermissibly apply a rule retroactively when it (at the Commission’s direction) applied the

¹The Commission disagrees, however, with Claimant’s contention that *NLRB v. Bell Aerospace Co. Div. of Textron, Inc.*, 416 U.S. 267, 294 (1974) and *Pfaff v. United States HUD*, 88 F.3d 739, 748 (9th Cir. 1996), give rise to a presumption that bears on the application of the standard here. The cited portion of *Textron* stands for the proposition that an agency has discretion in deciding how it announces new principles. 416 U.S. at 294. And *Pfaff* involved an agency standard that imposed penalties, injunctions, government surveillance, and potential damages on noncompliant parties. 88 F.3d at 748. As discussed below in Part III.C., the Commission’s revised interpretation of § 41102(c) does not penalize Claimant in a manner that creates a manifest injustice.

“normal, customary, and continuous” standard to his case on remand.

Moreover, the Commission could have reached the same result – announcement of a revised § 41102(c) standard – without promulgating a rule at all. As the D.C. Circuit reasoned:

Indeed, in the context of internal adjudicatory procedures, to hold that agencies can apply their new interpretations of pre-existing statutes or regulations retroactively only if they do not memorialize those interpretations in interpretive rules would create a perverse disincentive to issue such rules. The ironic result would be that entities affected by the agency’s interpretations would be left more in the dark than before, for clues to the agency’s reading of the relevant texts would emerge only on an ad hoc basis. And this even though an ad hoc answer developed in binding agency adjudication would enjoy judicial deference.

Health Ins. Ass’n, 23 F.3d at 424-25. The Commission here decided to give the public advance notice and an opportunity to comment with respect to the interpretation of § 41102(c). Having done so, the Commission is not precluded from applying that interpretation going forward, even as to this case.²

² Contrary to Claimant’s argument, Claimant Apr. 11, 2019 Br. at 11, the Notice of Proposed Rulemaking and Final Rule do not imply that the interpretive rule would not apply to cases pending before the Commission for review. The Notice of Proposed Rulemaking and Final Rule are silent on that issue. The statement that the Commission will “[i]n the future” apply the revised standard does not mention pending cases. 83 Fed. Reg. at 45370. Moreover, the Commission has acted consistently with that statement by applying that standard to all cases once the Final Rule issued, including the present case. The effective date of the Final Rule and the statement that the revised interpretation “will return” the Commission’s approach to consistency with precedent likewise do not suggest anything about pending cases.

C. Manifest Injustice

The Commission also finds that applying the “normal, customary, and continuous” standard in this case does not work a manifest injustice to Claimant. In considering whether a “retrospective application” of a rule announced in an agency adjudication should be withheld because it is a manifest injustice, courts consider:

- (1) whether the particular case is of first impression,
- (2) whether the new rule represents an abrupt departure from well established practice or merely attempts to fill a void in an unsettled area of law, (3)
- the extent to which the party against whom the new rule is applied relied on the former rule, (4) the degree of the burden which a retroactive order imposes on a party, and (5) the statutory interest in applying a new rule despite the reliance of a party on the old standard.

Clark-Cowlitz, 826 F.2d at 1081 (quoting *Retail, Wholesale & Department Store Union v. NLRB*, 466 F.2d 380, 390 (D.C. Cir. 1972)). Here, on balance the factors weigh against invoking the “manifest injustice” exception to the normal rule permitting retroactive application.

The first factor “recognizes that a number of reasons call for the application of a new rule to the parties to the adjudicatory proceeding in which it is first announced.” *Clark-Cowlitz*, 826 F.2d at 1081-82 (internal quotation marks and citation omitted). Courts have also recognized that “by granting the benefit of a change in the law to those who efforts may have helped bring about the change, retroactive application of a new principle encourages parties to advance new theories or challenge outworn doctrines.” *Retail, Wholesale*, 466 F.2d at 390. This is not a case in which the revised § 41102(c) standard is first being announced, and the Respondent here did not help bring about the change in interpretation. This factor

therefore weighs in favor of the manifest injustice exception.

The second factor also weighs in favor of the manifest injustice exception and against applying the “normal, customary, and continuous” standard to the present case, but it does not weigh heavily. The second factor “requires the court to gauge the unexpectedness of a rule and the extent to which the new principle serves the important but workaday function of filling in the interstices of the law.” *Id.* at 1082. It “recognizes that the longer and more consistently an agency has followed one view of the law, the more likely it is that private parties have reasonably relied to their detriment on that view.” *Id.* at 1083.

Here, the revised interpretation of § 41102(c) expressly departs from a line of established Commission caselaw. 83 Fed. Reg. at 45367. It does not fill gaps of the law but resulted from a change in agency policy. *Clark-Cowlitz*, 826 F.2d at 1083. This factor does not weigh that heavily against the general rule of retroactivity in adjudications, however, because the “old” interpretation was not that old. 83 Fed. Reg. at 45367. Commissioners also consistently dissented from Commission orders applying the old interpretation. *E.g.*, *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720, 1744 (FMC 2013) (Khouri, Commissioner, dissenting).

The third factor asks if the party against whom the new rule is applied, in this case Claimant, relied on the former rule. There appears no evidence that Claimant relied on the “old” interpretation of § 41102(c). Claimant certainly litigated its case under the old § 41102(c) interpretation, and the SCO found liability under that standard. Claimant also asserts in its brief that it relied on precedent applying the “old” standard when it submitted its complaint. Claimant Apr. 11, 2019 Br. at 11. But there is no evidence that Claimant conformed its conduct to a Commission rule and is now being punished under a new rule. There is no evidence, for instance, that in shipping clothing from India to the United States, Claimant was relying on the fact that it could later possibly seek recovery

under § 41102(c) for a single act or omission. In contrast, in *Retail, Wholesale*, the company against whom a new rule was applied had previously conformed its conduct to a well-established and long-accepted standard, and the agency was “attempt[ing] to punish conformity to that standard under a new standard subsequently adopted.” 466 F.2d at 391.

The lack of “punishment” is also key to the fourth factor, the degree of burden that retroactive application would place on a party. By applying the revised interpretation of § 41102(c), the Commission is not burdening Claimant such that there is a manifest injustice. Claimant might find it more difficult to prove liability under the “normal, customary, and continuous” standard than under the prior standard. But “[t]he ‘situation is not one in which some new liability is sought to be imposed on individuals for past actions which were taken in good-faith reliance on agency pronouncements.’” *Clark-Cowlitz*, 826 F.2d at 1085-86 (quoting *NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 295 (1974)). Nor is this a situation where the application of the revised interpretation is increasing the likelihood that parties will be fined or pay damages. *Id.* (“Nor are fines or damages involved here.”). It is also of little significance that Claimant initially obtained a favorable SCO ruling because the Commission may review an SCO decision *de novo*. See 46 C.F.R. § 502.304(g); Part III.A., *supra*; see also *Clark-Cowlitz*, 826 F.2d at 1085 n. 10 (“All Clark-Cowlitz ever had was a favorable ruling from an ALJ, which was subject to plenary review by the full Commission.”).

The fifth factor, which considers the statutory interest in applying the revised interpretation does not seem to weigh particularly in either direction. Among the purposes of the Shipping Act is to establish a nondiscriminatory regulatory process for ocean common carriage, 46 U.S.C. § 40101(1), and the “primary objective of the shipping laws administered by the FMC is to protect the shipping industry’s customers, not members of the industry,” *N.Y. Shipping Ass’n v. Fed. Mar. Comm’n*, 854 F.2d 1338, 1374 (D.C. Cir. 1988) (quoting *Boston Shipping Ass’n v. Fed. Mar. Comm’n*,

706 F.2d 1231, 1238 (1st Cir. 1983)). But there is also an interest in minimizing government intervention in the industry, 46 U.S.C. § 40101(1), and in the Commission focusing on activities (i.e. practices) that “negatively affect the broader shipping public,” 83 Fed. Reg. at 45367, which both counsel against continuing to applying an “old” statutory interpretation that is more expansive than the Commission deems appropriate.

D. Opportunity for Discovery

Although the Commission believes application of the “normal, customary, and continuous” standard is appropriate, we recognize that this was not the interpretation of § 41102(c) when Claimant filed this case and when the SCO Decision was issued in Claimant’s favor. As a consequence, Claimant would not have anticipated the need for evidence relating to Respondent’s conduct with respect to other shipments or shippers. Moreover, Claimant’s brief in response to remand focused on retroactivity, and it did not apparently avail itself of the opportunity to take discovery.

Given the procedural posture and timing of this case vis-à-vis the revised interpretation of § 41102(c), the Commission will give Claimant a final opportunity to seek discovery relevant to the “normal, customary, and continuous” standard. Because this is an informal proceeding under Subpart S of 46 C.F.R. Part 502, and discovery is not normally permitted, the SCO has the discretion to determine how best to permit any additional taking and submission of evidence. The Commission takes no position as to the SCO’s application of the “normal, customary, and continuous” standard to the evidence previously submitted.

IV. CONCLUSION

For the reasons set forth above, the Commission **AFFIRMS** the SCO’s finding on remand that Respondent was (a) an ocean transportation intermediary; (b) the acts or omissions at issue related to or were connected with receiving, handling, storing, or delivering

property; (c) the acts or omissions at issue were unjust and unreasonable; and (d) the acts or omissions at issue were the proximate cause of the claimed loss.

The Commission **VACATES** the SCO's finding on remand that Claimant failed to demonstrate that Respondent's conduct occurred on a normal, customary, and continuous basis.

The Commission **REMANDS** this case to give Claimant a final opportunity to seek discovery regarding whether Respondent or its agent engaged in its unjust and unreasonable conduct with respect to other shipments or shippers.

By the Commission.

Rachel E. Dickon
Secretary